neighbourhood and China’s strong push in South Asia under its assertive drive for Asian and global leadership.

China has historically not been a part of India’s neighbourhood, either in terms of geographic proximity or civilisation, understood as common culture, even though it was inspired by Indian Buddhism. Instead, China is India’s new and distant neighbour. New, because it militarily annexed Tibet, a geographical buffer between China and its South Asian neighbours, in 1951. And distant, because of lack of substantial cultural and political proximity between India and China. Consequently, China has until recently not featured prominently in India’s neighbourhood policies. China is a category in itself when it comes to India’s neighbours.

In this chapter, we examine if the “neighbourhood first” policy is driven mainly by China’s increased footprint in South Asia, by India’s own ambition to engage more deeply with its neighbouring countries, or at the leadership level in terms of Prime Minister Modi’s more pro-active foreign policy. We furthermore seek to explore ways in which India has tried to cope with the Chinese challenge in pursuit of Modi’s “neighbourhood first” policy. Is India looking for cooperation and partnership with China in Bangladesh, Nepal, and Sri Lanka, or is it rather seeking to counter Chinese influence in these three countries? Addressing these issues, we examine India’s security policy, economic policy, and other main diplomatic initiatives towards Bangladesh, Nepal, and Sri Lanka. In order to proceed in that respect, we must first have a proper understanding of India’s policy and the nature of the Chinese challenge.

The “neighbourhood first” initiative